


Week ending 16th October 2020

# Weekly Fixed Income Note

## Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were over-subscribed recording subscription rates of **215%, 71%** and **159%** respectively. The CBK accepted KES **8.1B**, **6.1B** and **15.7B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

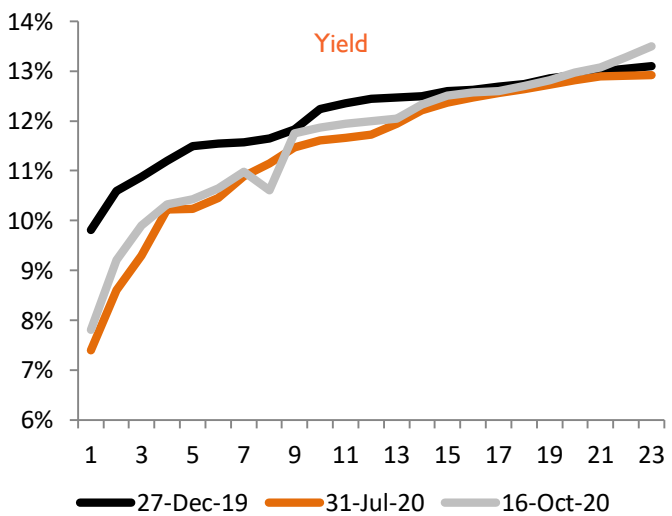
In October, Central Bank of Kenya re-opened two fixed bonds **FXD1/2011/20-(10.6Yrs) and FXD1/2018/25-(22.7Yrs)** in a bid to raise **50 Billion**. The bonds recorded a performance rate of **46%** and **92%** respectively. The CBK received total bids at cost KES **69.1B**. The CBK accepted KES **17.0B** and **43.0B** for the **FXD1/2011/20** and **FXD1/2018/25** T-Bonds respectively. The bond was oversubscribed due to the high liquidity in the market.

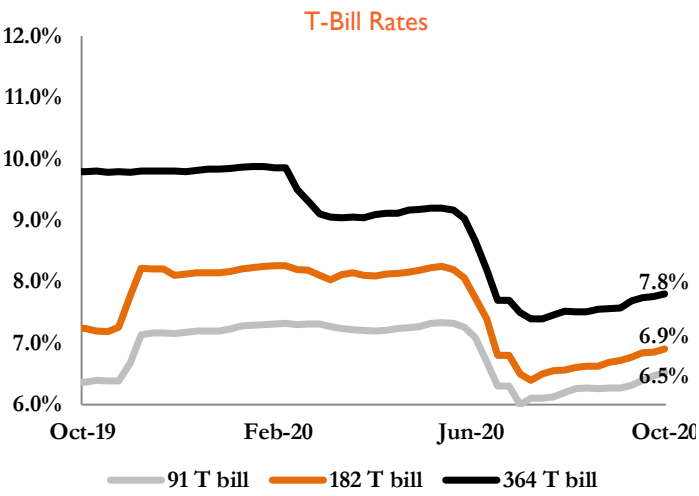
## Key Indicators

| | Current | Previous | % Change |
|---|---|---|---|
| 91- Day | 6.52% | 6.47% | 0.77% |
| 182-Day | 6.91% | 6.85% | 0.88% |
| 364-Day | 7.80% | 7.76% | 0.52% |
| Interbank Rate | 2.44% | 2.04% | 19.61% |

| Macroeconomic data | Current | Previous |
|---|---|---|
| GDP (2Q20vs. 2Q19) | -5.7% | 5.6% |
| **Inflation (September)** | 4.20% | 4.36% |
| Private sector credit growth (August) | 8.30% | 7.6% |
| **Money Supply (August)** | 11.01% | 11.29% |

## Interest Rates



## MACROECONOMIC NEWS

### Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.09%** to stand at **108.62**.The CBK's usable forex reserves currently stands at **USD 8,311million** (**5.04** months of import cover) as at October 15th a **1.73%** decrease from **USD8,457million**(**5.13** months of import cover) as at October 08th.

### Inflation

Inflation decreased to **4.20%** in September. The CPI remained at **108.57.** This decrease occurred on the back of a drop in the housing, water, electricity, gas & other fuels and transport; information and communication indices which decreased by 0.05% and 0.01% respectively**.**

### GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.


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